

***Total Returns include dividends received and reinvested, both for CCPs as well as for the indices.*

We ran three more scenarios to test the robustness of the ‘buy and hold’ strategy.

1. **Scenario 3A:** In this scenario, rather than selling when valuations are rich, we stay put and when the Nifty trailing P/E drops below fourteen times, we exit the old CCP and enter into the fresh CCP as at that moment. The money is allocated equally to all the new CCP stocks.
2. **Scenario 3B:** In this scenario, rather than selling when valuations are rich, we buy more when the Nifty trailing P/E drops below fourteen times. We double the investment amount whenever this happens and the money is allocated equally to all the existing CCP stocks.
3. **Scenario 3C:** As in the previous scenario, rather than selling when valuations are rich, we buy more when the Nifty trailing P/E drops below fourteen times. However, we remain cognizant of the compounding benefits enjoyed by outperforming stocks in a CCP. So as to not penalize them by equally allocating new money, in this scenario, we double the total investment amount but allocate this amount as per the stocks’ existing weights.

Interestingly, we find that even in these scenarios, there is no outperformance as compared to the ‘buy and hold’ strategy.

The findings above make sense when one realizes that the firms that do make it to the CCPs enjoy sustainable competitive advantages over their competitors, which reflects in their share price performance. Thus, trying to time the market and using market-level valuations as a guide to especially make ‘sell’ decisions prove to be counter-productive as companies with sound fundamentals and excellent return ratios will continue to look expensive.